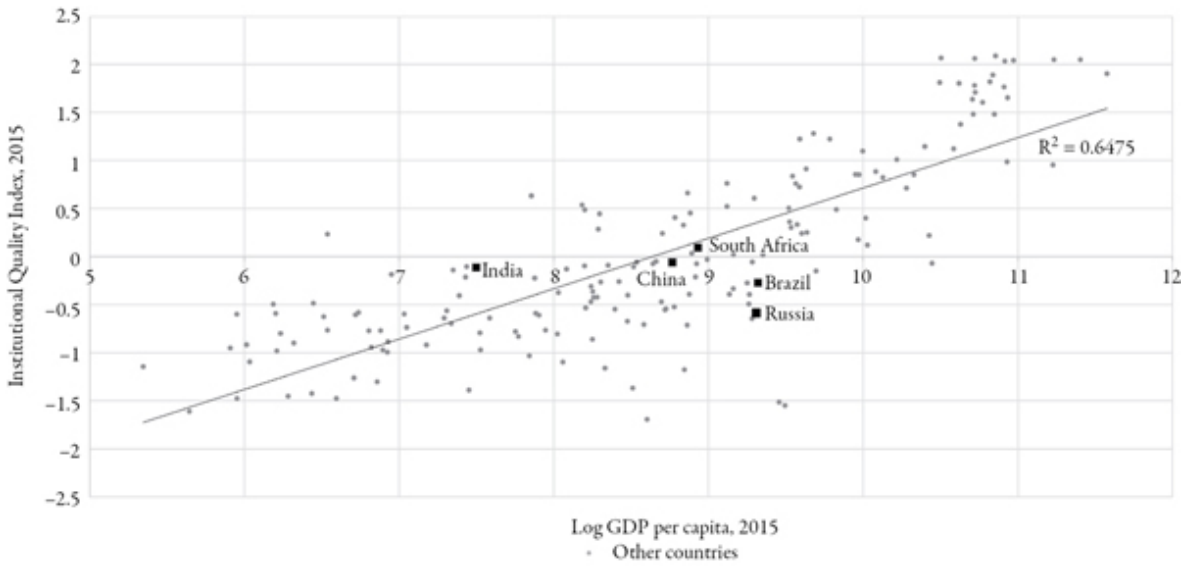


FIGURE 5.1 BRICS Institutional Quality Index Versus Log GDP per Capita

Source: World Bank, Worldwide Governance Indicators, 2016; C. Roberts calculations.

Thus, China grew rapidly in the first decade of the 2000s, with institutions suitable for its level of development, but then growth slowed. Like all the other BRICS (except India for the time being), China needs better governance and liberal reforms if it is to break out of the middle-income trap. Likewise, Brazil and South Africa suffer from too little liberalization and ineffective governance, despite their democratic structures. Of course, India is still relatively poor, with a GDP per capita in 2016 of about $1,600 in market exchange-rate (MER). With more than $9,000 GDP per capital (MER), Russia is significantly richer, so it requires institutions more comparable to those in developed countries, but patronal politics continue to trump needed reforms. Many economists contend that Russia is too rich to have such corrupt institutions—it is one standard deviation away from the norm for countries of its development level.[34]

Given China's and South Africa's positions near the regression line, it may be possible to improve growth there without radical reforms right away. However, Brazil, and particularly Russia, are more likely to stagnate economically without significant improvements in governance and rule of law.[35] This is no surprise to the BRICS, whose leaders have publicly acknowledged the need for reforms while eschewing fundamental changes in practice.